ITC Infotech

Your Company's subsidiary ITC Infotech has demonstrated encouraging progress in recent years with its abiding commitment to deliver 'Business Friendly' solutions. ITC Infotech has recently acquired a substantial portion of PTC Inc's PLM professional services business, making it one of the largest organisations in this segment and reinforcing its position as a leader in Digital Manufacturing. Targeted investments in chosen domains, technologies and focus on customer and employee centricity, position it well as a future-ready global business.

Sustainability

Your Company is a global exemplar in sustainability. ITC is now carbon positive for 17 years, water positive for 20 years and solid waste recycling positive for 15 years. ITC sustained its 'AA' rating by MSCI-ESG for the 4th successive year. CDP has also rated ITC at the 'Leadership Level' score for both Climate Change and Water Security. Your Company continues to be included in the Dow Jones Sustainability Emerging Markets Index. This year, your Company exceeded its commitment to be plastic neutral by collecting and managing more than 54,000 tonnes of plastic waste.

BUILDING A FUTURE TECH ENTERPRISE

Your Company is on a mission to build a Future Tech enterprise with investments in purposeful consumer-centric innovation, technology, a digitally-enriched smart ecosystem and sustainability.

ITC's vibrant portfolio of future-ready brands reflects the strength of purposeful and agile innovation resident in the market-aligned R&D platforms of ITC-LSTC. To delight consumers and contribute to resolving some of the critical challenges facing society, innovations are being nurtured in high impact areas such as nutrition, wellness, hygiene, convenience foods, agriculture and sustainability. Today with over 900 patents filed, the ITC-LSTC has been ranked as the top private sector innovator in the country. Your Company is also actively engaging with over 30 startups to build scalable solutions.

> "ITC is today a pioneer in adoption of digital technologies across strategic impact areas spanning intelligent new-age insights that reimagine Consumer Experience, Business Model Transformation, Smart Operations and Employee Experience."

Recognising that malnutrition is one of India's serious developmental challenges, the Government has established Mission Poshan 2.0. Focussing on this national priority, your Company has launched a comprehensive programme called 'Help India Eat Better'. This is powered by a 4-pillar strategic model encompassing the development of a 'good-for-you' product portfolio, implementation of sustainable food systems, catalysing support to building healthy societies and enhancing awareness.

Your Company's 'good-for-you' portfolio is aimed at enhancing the nutrient value of products to address concerns arising out of anaemia, digestive health, diabetes, immunity, lactose & gluten intolerance and so on. Your Company's Aashirvaad multi-grain atta and Farmlite range of biscuits provide goodness of fibre to aid digestive health. To enhance awareness, a dedicated content marketing platform 'Happy Tummy' has been created with blogs, expert videos, nutritionist consultations and high fibre recipes. Your Company has added micro-nutrients in a range of affordable FMCG offerings and launched a unique fortified +F portfolio of milk and atta, amongst others. Recognising that 7 out of 10 Indians are protein deficient, your Company has launched innovative products such as the Sunfeast Protein shake. The B Natural Nutrilite ABC beverage has been specially crafted with proprietary extracts to boost immunity. Drawing from the insight that 30% of people in West Bengal are lactose intolerant, the Aashirvaad Svasti Easy Digest Milk was launched in pouches, making it accessible for consumers.

Your Company's endeavour to strengthen sustainable agri-food systems is anchored on the Next Generation agriculture interventions as well as on the development of climate resilient varieties and innovative products. These include planet-friendly and micronutrient rich millet-based products marketed under the Aashirvaad Nature's Super Foods brand. We have developed a range of innovative products which will be launched as the country celebrates the International Year of Millets in 2023. Your Company also introduced sustainable plant-based protein products for consumers under the ITC Master Chef IncrEdible brand. Recognising that building community awareness is crucial, dedicated programmes like 'Project Samposhan' have been initiated in select Aspirational Districts to address the critical concern of anaemia.

Your Company continues to build an insight-driven Future Tech enterprise with a connected smart eco-system across every node of the value chain encompassing digital marketing, digital commerce, digital products and digital operations. Your Company is today a pioneer in adoption of digital technologies across strategic impact areas spanning intelligent new-age insights that reimagine Consumer Experience, Business Model Transformation, Smart Operations and Employee Experience. Initiatives such as 'Young Digital Innovators Lab' and 'DigiNext' are driving a data-driven and 'Digital First' culture across the organisation and empowering teams to explore, experiment, adopt and scale up cutting-edge technology interventions.

ITC is also redefining consumer experience by providing them customisation options with initiatives like the '*Meri Chakki*' atta and Classmateshop.com. Unique personalised solutions are being offered with the 'Engage Fragrance Finder' and the 'Dermafique' Smart Skin Advisor. The 'Mangaldeep' App also offers a range of engaging content in the devotional space. Deployment of Industry 4.0, AI & ML technologies across the supply chain is leading to a higher order of efficiency and superior market servicing. The 'UNNATI' App, that covers over 3 lakh outlets, and programmes like 'PACE' have enhanced effectiveness of last mile execution. In the Hotels Business, digital investments continue to be leveraged towards facilitating customer acquisition, enhancing guest experience, enabling smart revenue management and driving operational efficiency through a mobile-first approach with a full-stack ITC Hotels App.

The 'ITC e-Store' is now operational in 15 cities, with 45+ categories and 700 products. Overall sales through e-Commerce channels grew by 3x over FY 20.

We recognise that digital is a megatrend of the decade which will profoundly impact as well as disrupt conventional models. Therefore, your Company continues to invest in a smart connected eco-system to significantly sharpen competitive edge and pursue new opportunities that lie at the intersection of digital, sustainability and its enterprise strengths.